Vantara Bank
Strength. Clarity. Trust.

Quarterly Risk Disclosure Statement

Reporting Period: Q3 2026 (1 July – 30 September 2026) | Regulatory Reference: FRB-2026-0847

Entity	Vantara Bank
Registered in	Illinois, USA · LEI: 9X4TBM7QR2KS8PH6YN03
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1. Executive Summary

Vantara Bank ("the Bank") presents its Quarterly Risk Disclosure for the period 1 July 2026 to 30 September 2026, submitted in accordance with Federal Reserve Board Regulation Q and the requirements of the Dodd–Frank Wall Street Reform and Consumer Protection Act. The Bank operates across retail banking, corporate lending, capital markets, and asset management divisions in 14 jurisdictions.

Total risk-weighted exposure for Q3 2026 stands at **USD 4,820 million**, representing a 6.3% increase over Q2 2026 (USD 4,535 million), driven primarily by growth in the corporate lending portfolio and elevated market volatility observed in August 2026. The Bank's Common Equity Tier 1 (CET1) ratio remains above the regulatory minimum at **12.4%**, providing a capital buffer of 440 basis points above the 8.0% requirement.

The highest-ranked risk category for the reporting period is **Credit Risk**, accounting for 57% of total risk-weighted assets. The Bank has implemented targeted remediation actions across its commercial real estate and leveraged loan sub-portfolios in response to deteriorating credit conditions in the North American market.

2. Risk Summary

2.1 Risk Exposure by Category — Q3 2026

The table below presents the Bank's risk-weighted assets (RWA) broken down by risk category as at 30 September 2026, compared with the prior quarter. All figures are expressed in USD millions.

The **6.3% quarter-on-quarter increase** in total RWA reflects a confluence of factors that emerged during the July–September 2026 period. Corporate lending volumes expanded as several pipeline transactions closed ahead of anticipated interest rate adjustments in Q4 2026, adding approximately USD 180 million to credit RWA. Simultaneously, a sharp rise in implied volatility across fixed income and equity markets during August 2026 drove mark-to-market losses in the trading book, increasing market risk RWA by USD 67 million.

The most notable outlier is **Counterparty Risk**, which grew by 31.4% (USD 27 million) quarter-on-quarter. This increase is directly attributable to a single cross-currency swap portfolio maturing on 15 October 2026; the associated credit valuation adjustment (CVA) charge is expected to reverse in Q4 2026 once the position matures. Excluding this item, underlying RWA growth would have been approximately 5.7% — broadly in line with management's annual guidance of 5–6%.

Risk Category	RWA Q3 2026 (USD M)	RWA Q2 2026 (USD M)	Change (%)	Status
Credit Risk	2,748	2,591	+6.1%	HIGH
Market Risk	1,054	987	+6.8%	ELEVATED
Operational Risk	621	609	+2.0%	MODERATE
Liquidity Risk	284	262	+8.4%	MODERATE
Counterparty Risk	113	86	+31.4%	ELEVATED
TOTAL	**4,820**	**4,535**	**+6.3%**	—

Source: Vantara Bank Risk Management Division. Figures may not sum due to rounding.

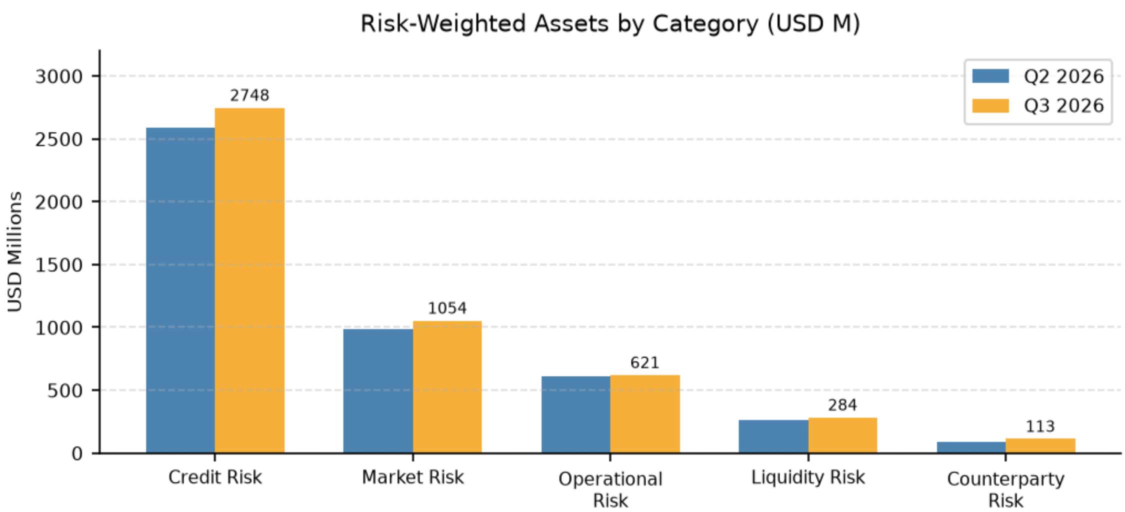

Figure 1 — Risk-weighted assets by category, Q2 vs Q3 2026 (USD millions)

2.2 Credit Risk — Sub-portfolio Detail

Credit risk remains the dominant risk driver for the Bank. The increase in Q3 reflects net loan growth of USD 312 million in the commercial real estate (CRE) sub-portfolio and USD 94 million in leveraged lending. The non-performing loan (NPL) ratio increased from 1.8% to 2.1%, remaining below the peer-group median of 2.4%.

The two sub-portfolios of greatest concern are **Commercial Real Estate**, where rising office vacancies in Chicago and New York are depressing collateral valuations, and **Leveraged Loans**, where two media-sector borrowers were reclassified as non-performing during Q3, contributing USD 18 million to the NPL stock.

Sub-portfolio	Exposure (USD M)	NPL Ratio (%)	Provision Coverage (%)
Residential Mortgage	841	0.9%	145%
Commercial Real Estate	712	3.2%	112%
Corporate Lending	634	2.6%	118%
Leveraged Loans	321	4.1%	98%
Consumer Credit	240	1.4%	132%
Total Credit Risk	**2,748**	**2.1%**	**119%**

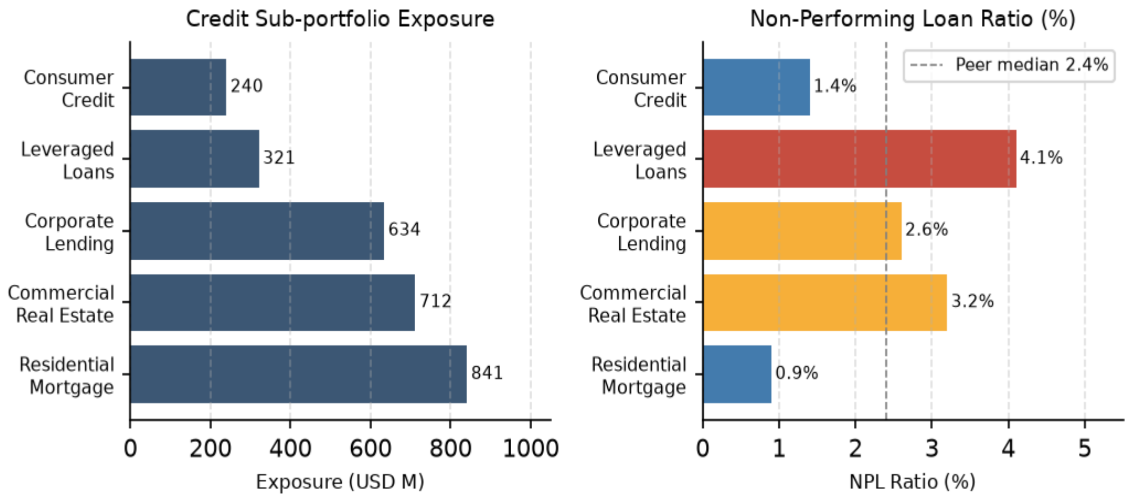

Figure 2 — Credit sub-portfolio exposure (left) and NPL ratios (right). Dashed line indicates peer-group median NPL of 2.4%.

2.3 Market Risk — Methodology and VaR Estimates

The Bank measures market risk using a **parametric Value-at-Risk (VaR)** model calibrated to a **99% confidence level** over a **10-business-day holding period**, consistent with Basel III internal models approach requirements. The model is applied to the trading book, covering interest rate risk, foreign exchange risk, equity risk, and commodity risk sub-portfolios.

For Q3 2026, the 10-day 99% VaR across the consolidated trading book stood at **USD 38.4 million** (Q2 2026: USD 35.1 million), reflecting the increase in interest rate volatility observed during August 2026. The interest rate sub-portfolio contributed the largest share at 61% of total VaR, driven by duration exposure in the sovereign bond inventory.

Back-testing conducted over the 250 most recent trading days produced **2 exceptions** (days on which actual trading losses exceeded the VaR estimate), within the Basel III green zone threshold of 4 exceptions. The Bank has not breached the amber zone (5–9 exceptions) during the current regulatory assessment cycle.

The Q3 2026 consolidated 10-day 99% VaR of **USD 38.4 million** (Q2 2026: USD 35.1 million, +9.4%) reflects broad-based volatility increases across all sub-portfolios. The breakdown by risk type and key drivers is as follows:

- **Interest Rate Risk — USD 23.4 M** (+8.3% QoQ, 61% of total VaR).
  - Duration exposure in the sovereign bond inventory (+USD 1.5 M).
  - Widening of swap spreads in the 5–10 year tenor bucket (+USD 0.3 M).
- **Foreign Exchange Risk — USD 7.8 M** (+8.3% QoQ, 20% of total VaR).
  - Elevated EUR/USD and GBP/USD implied volatility through August 2026.
  - Short sterling position in the UK retail banking book contributed USD 0.4 M.
- **Equity Risk — USD 5.1 M** (+4.1% QoQ). Variance driven by sector-rotation in the North American equity derivatives book.
- **Commodity Risk — USD 2.1 M** (+50.0% QoQ). Largest relative increase across sub-portfolios.
  - New energy-sector structured product (notional USD 18 M) added in July 2026.
  - Crude oil price volatility index (OVX) averaged 42 in Q3 vs 31 in Q2 2026.

3. Capital Adequacy

3.1 Capital Ratios

The Bank maintains capital ratios in excess of all regulatory minimum requirements. The CET1 ratio of 12.4% provides a buffer of 440 basis points above the 8.0% minimum requirement and 220 basis points above the

10.2% Supervisory Capital Assessment threshold communicated by the Federal Reserve Board on 14 March 2026 (Reference: FRB-2026-0847).

Capital Measure	Q3 2026	Q2 2026	Regulatory Minimum	Buffer (bps)
Common Equity Tier 1 (CET1)	12.4%	12.1%	8.0%	+440
Tier 1 Capital Ratio	13.8%	13.5%	9.5%	+430
Total Capital Ratio	15.2%	14.9%	11.5%	+370
Leverage Ratio (Basel III)	5.8%	5.7%	3.0%	+280

3.2 Stress Testing and Capital Planning

In accordance with the Dodd–Frank Act stress testing requirements, the Bank completed its annual Comprehensive Capital Analysis and Review (CCAR) submission in June 2026 (FRB approval received June 2026). Stress scenarios are defined by the Federal Reserve Board and cover a **severely adverse** macroeconomic scenario and a **moderately adverse** scenario over a nine-quarter projection horizon.

The table below summarises projected capital ratios under each stress scenario at the end of the nine-quarter horizon, compared with the Bank's starting capital position as at 30 September 2026.

Capital Measure	Actual Q3 2026	Moderately Adverse (min)	Severely Adverse (min)	Regulatory Minimum
Common Equity Tier 1 (CET1)	12.4%	10.1%	8.6%	8.0%
Tier 1 Capital Ratio	13.8%	11.4%	9.9%	9.5%
Total Capital Ratio	15.2%	12.8%	**11.2%**	11.5%
Leverage Ratio (Basel III)	5.8%	4.9%	4.2%	3.0%

Note: The Total Capital Ratio under the severely adverse scenario (11.2%) falls below the 11.5% regulatory minimum. The Bank has submitted a capital plan to the Federal Reserve Board detailing remediation actions, including targeted de-risking of the leveraged loan portfolio and suspension of discretionary distributions.

Management is confident that the planned remediation measures are sufficient to restore compliance with the Total Capital Ratio minimum within two quarters of the stress scenario onset. The CET1 and Tier 1 ratios remain above their respective regulatory minimums under all stress scenarios.

4. Regulatory Compliance Status

The Bank is subject to oversight by the Federal Reserve Board, the Office of the Comptroller of the Currency (OCC), and the Financial Industry Regulatory Authority (FINRA). The following table summarises compliance status across applicable regulatory frameworks as at 30 September 2026.

Framework / Regulation	Applicability	Status	Notes
Basel III Capital Framework	Group-wide	**Compliant**	CET1 12.4% vs 8.0% min
Dodd-Frank Act (Title I/II)	Group-wide	**Compliant**	Annual stress test submitted
Regulation Q (Capital Rules)	Group-wide	**Compliant**	Ref: FRB-2026-0847
Volcker Rule (Regulation VV)	Trading book	**Compliant**	Quarterly attestation filed
CRA (12 CFR Part 25)	Retail banking	**Satisfactory**	Last exam: Feb 2026
AML / BSA (31 CFR Part 103)	All entities	**Compliant**	Enhanced monitoring active
CCAR (Comprehensive Capital)	Holding company	**Compliant**	FRB approval received Jun 2026

5. Concentration Risk Analysis

Concentration risk arises when exposures to a single counterparty, industry sector, or geographic region represent a disproportionate share of the Bank's total portfolio. The Bank monitors concentration risk through a combination of single-name limits, sector caps, and geographic diversification targets, all governed by the Group Credit Risk Policy (last reviewed: April 2026).

5.1 Sector Concentration

The table below presents the top industry sector exposures as a percentage of total credit risk-weighted assets (RWA) as at 30 September 2026, alongside the Bank's internal sector cap and the headroom remaining before the cap is breached.

Industry Sector	Exposure (USD M)	% of Credit RWA	Internal Sector Cap (%)	Headroom (pp)
Commercial Real Estate	712	25.9%	30%	4.1
Corporate & Leveraged	955	34.8%	35%	0.2
Residential Mortgage	841	30.6%	35%	4.4
Consumer & Retail	240	8.7%	15%	6.3
Other Sectors	—	—	—	—

Source: Vantara Bank Credit Risk Division. pp = percentage points of headroom to internal sector cap. Corporate & Leveraged headroom is flagged amber (< 1 pp).

The Corporate & Leveraged sector exposure at 34.8% of credit RWA is approaching the internal cap of 35%. The Bank has implemented a **temporary origination pause** on new leveraged lending commitments above USD 50 million, effective 1 October 2026, pending a formal cap review by the Group Risk Committee in November 2026.

5.2 Geographic Concentration

The Bank's credit portfolio spans 14 jurisdictions. The five largest geographic exposures account for 87% of total credit RWA. The table below details these exposures, including the sovereign credit rating of each jurisdiction as assessed by Moody's as at the reporting date.

Jurisdiction	Exposure (USD M)	% of Credit RWA	Sovereign Rating (Moody's)	Change vs Q2 2026
United States	1,624	59.1%	Aaa	—
United Kingdom	342	12.5%	Aa3	+0.8 pp
Germany	218	7.9%	Aaa	–0.3 pp
Canada	176	6.4%	Aaa	+0.2 pp
France	131	4.8%	Aa2	–0.1 pp
Other (9 countries)	257	9.3%	Various	—
Total	**2,748**	**100.0%**	**—**	**+6.1%**

Source: Vantara Bank Credit Risk Division. pp = percentage points. Sovereign ratings as at 30 September 2026 per Moody's Investors Service.

Geographic diversification remains a core risk management objective. The Bank's single-country limit is set at 65% of credit RWA; the United States exposure at 59.1% provides 5.9 percentage points of headroom. No jurisdiction outside the United States exceeds the 15% individual country sub-limit.

6. Forward-Looking Statements and Outlook

The Bank anticipates continued moderate growth in risk-weighted assets through Q4 2026, driven by seasonal increases in consumer credit and corporate lending activity. Management expects the CET1 ratio to remain above 12.0% through year-end, supported by disciplined capital allocation and the suspension of share buybacks announced on 18 September 2026.

The elevated counterparty risk exposure (+31.4% QoQ) reflects increased derivative activity in Q3 and is expected to normalise in Q4 following the maturity of a USD 27 million cross-currency swap portfolio on 15 October 2026. The Bank has no material direct exposure to the commercial property markets in the Asia-Pacific region.

This disclosure contains forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995. Actual results may differ materially from those projected.